

Car Loan Calculator

Personal Financial Scenario Report

United States · USD

fincalcsmart.com/car-loan-calculator

EXECUTIVE SUMMARY

Healthy

\$1,007.89

Monthly Payment

\$5,379

Total Interest

\$48,379

Total Cost

74/100

Borrowing Cost Score

Good

LOAN COST BREAKDOWN

89%

Total projected: \$48,379

Principal: \$43,000 (88.9%) Total Interest: \$5,379 (11.1%)

AI-ASSISTED CAR LOAN SUMMARY

This car loan of \$43,000 (vehicle price \$55,000 minus \$12,000 down payment) at 5.9% annual rate over a 48-month term results in a monthly payment of \$1,007.89. Over 48 payments, the total cost is \$48,379, of which \$5,379 (12.5% of amount financed) is interest. Borrowing Cost Score: 74/100 (Good).

New car loans in the USA typically range 5–12% APR; used car loans run higher, 8–18%. Your rate of 5.9% is competitive — borrowing cost is manageable for a well-qualified borrower. Interest accounts for \$5,379 (12.5% of the amount financed) over the full term, equivalent to \$125.08 per \$1,000 borrowed.

Your down payment of \$12,000 (21.8% of vehicle price) is a strong equity position. At 20%+ down, you reduce the amount financed, lender risk, and total interest paid. Choosing a 36-month term instead of the current 48-month term would save an additional \$1,355 in interest.

INPUTS & ASSUMPTIONS

Vehicle Price	\$55,000
Down Payment	\$12,000 (21.8%)
Amount Financed	\$43,000
Annual Interest Rate	5.9%
Loan Term	48 months (4 yr)
Compounding	Monthly

DETAILED RESULTS

Monthly Payment	\$1,007.89
Total Interest	\$5,379
Total Cost of Loan	\$48,379
Interest / Principal	12.5%
Down Payment	\$12,000
Amount Financed	\$43,000
Borrowing Cost Score	74/100 (Good)
Cost per \$1,000 Borrowed	\$125.08

KEY DRIVERS / POSSIBLE ADJUSTMENTS

- Strong equity: your 21.8% down payment minimises the amount financed and total interest paid over the term.
- Shorter term: choosing a 36-month term saves \$1,355 in interest at \$298.31 more per month — the fastest path to reducing total borrowing cost.
- Rate check: 5.9% annual rate is competitive for a well-qualified borrower.
- Add your annual income to the calculator to unlock affordability scoring against your gross monthly income.

METHODOLOGY

What this calculator models:

- Calculates the fixed monthly payment using standard amortization: $P \times r / (1 - (1+r)^{-n})$, where r = annual rate / 12 / 100 and n = loan term months.
- Amount financed = vehicle price minus down payment.
- Computes total interest as (monthly payment x n) - amount financed.
- Models the down payment optimization by calculating interest savings from a reduced loan balance.
- Derives Borrowing Cost Score from annual rate and interest ratio components (0–100 scale).

What this calculator does not model:

- Vehicle taxes, dealer fees, registration, or documentation charges.
- Automotive insurance or extended warranty costs.
- Vehicle depreciation — actual net vehicle value will differ from loan balance.
- Variable or promotional rates (e.g. 0% manufacturer financing).
- Trade-in value or negative equity rolled into the loan.
- Credit score impact on approval or rate.

EDUCATIONAL DISCLAIMER

This report is for illustrative and informational purposes only. Results assume a fixed interest rate and standard monthly amortization. Vehicle taxes, dealer fees, insurance, and other charges are not included. Actual loan terms depend on your lender and credit profile. This does not constitute financial, tax, or legal advice. Consult a licensed financial advisor before making borrowing decisions.